EXECUTIVE SUMMARY

A. Introduction

The Municipality of Iguig, Province of Cagayan was founded by Rev. Ambrocio de la Madre de Dios, O.P on December 8, 1607. It was created as a "Pueblo" along with the earlier towns, where Spanish Encomienderos enjoyed the friendly atmosphere and willingness of residents to embrace Christianity. It is known for its pottery making supplying particularly the whole province.

Iguig is a fourth class municipality composed of 23 barangays. It is located approximately 16 kilometers away from Tuguegarao City. The agency's vision is to be a self-reliant, productive agricultural community, vibrant in trade and industry and well known tourist destination where every Iguigueños can live peacefully and prosperously.

The audit covered the accounts and operations of the Municipality of Iguig for CY 2021 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations were complied with; and whether funds were utilized in the most efficient, effective and economical manner. Financial, compliance and value-for-money audit were conducted to achieve these audit objectives.

B. Operational and Financial Highlights

B.1. Programs, Projects and Activities completed in CY 2021

The following infrastructure projects of the Municipality of Iguig were completed in CY 2021:

Programs/Projects/activities	Location	Total Cost Incurred
Concreting of Barangay road at Minanga Norte	Minanga Norte, Iguig, Cagayan	998,997.95
Construction/Completion of Multi-Purpose Gymnasium at Ajat	Ajat, Iguig, Cagayan	19,954,419.10
Upgrading of Local Access Road at Ajat to Manaoag to Campo	Ajat-Manaoag-Campo, Iguig, Cagayan	11,599,962.31
Construction of 2 Units Toilet for Male, Female and PWD	Ajat, Iguig, Cagayan	699,247.07
Establishment of Municipal Terminal	Ajat, Iguig, Cagayan	593,124.19
Construction of 6 units Multi-purpose pavement at Ajat	Ajat, Iguig, Cagayan	1,793,203.79

Programs/Projects/activities	Location	Total Cost Incurred
Concreting of barangay road	Ajat, Iguig, Cagayan	992,063.32
Opening of barangay road from Campo to Utto falls	Campo, Iguig, Cagayan	848,653.96
Construction of Multi-Purpose Hall at Ajat	Central Terminal, Ajat, Iguig, Cagayan	1,988,868.66
Construction of perimeter fence along Evacuation Center 1	Ajat, Iguig, Cagayan	397,065.18
Concreting of road along Evacuation Center 1	Ajat, Iguig, Cagayan	398,534.76
Construction of quarantine facility at Garab	Garab, Iguig, Cagayan	1,892,072.46
Improvement and painting of Multi-Purpose Gymnasium at Ajat	Ajat, Iguig, Cagayan	994,797.83
Installation of additional steel casement, roll-up doors, spandrels and ficem boards for permanent evacuation center/Multi-purpose covered court	Ajat, Iguig, Cagayan	1,436,850.60
Concreting of Manaoag-Campo road	Manaoag-Campo Road, Iguig, Cagayan	9,974,815.68
Concreting of San Isidro road	San Isidro, Iguig, Cagayan	9,970,034.47
Construction of Vegetable Seeding Nursery including Construction of perimeter fence	Minanga Norte, Iguig, Cagayan	1,495,169.06
Construction of Multi-purpose pavement along Evacuation Center 2	Ajat, Iguig, Cagayan	897,114.53
Construction of perimeter fence along Evacuation Center 2	Ajat, Iguig, Cagayan	515,479.95

For social services, the following were among the programs/projects/activities implemented by the Municipality of Iguig for CY 2021:

Project/Program/Activity	No. of beneficiaries	Total Amount
Aid to Individuals in Crisis Situation (AICS)	2,185	1,919,100.00
Assistance to Victims of Natural and Man-made Calamities	2,318	6,954,000.00
Early Childhood Care and Development Service	1,041	126,000.00
Emergency Shelter Assistance	1	5,000.00
Handling of Children in Conflict with the Law and Children at Risk	12	25,000.00
Livelihood Assistance Grant	340	3,348,000.00
Awarding of Centenarian Gift	1	100,000.00
Social Pension Program	1,788	10,728,000.00

Project/Program/Activity	No. of beneficiaries	Total Amount
Supplemental Feeding Program	1,786	1,607,400.00

The financial information of the Municipality for CY 2021, with comparative figures for CY 2020, are presented below:

Particulars	2021	2020	Increase/(Decrease)	
			Amount	Percentage
Financial Condition				
Assets	420,753,421.45	335,779,218.38	84,974,203.07	25.31%
Liabilities	225,242,320.09	196,728,402.27	28,513,917.82	14.49%
Government Equity	195,511,101.36	139,050,816.11	56,460,285.25	40.60%
Result of Operations				
Income	143,330,143.98	139,648,447.21	3,681,696.77	2.64%
Expenses	132,235,177.28	129,082,167.67	3,153,009.61	2.44%
Appropriations, Allotments and Obligations				
Total Appropriation	150,673,479.00	144,151,651.12	6,521,827.88	4.52%
Total Obligations	139,046,002.90	134,762,485.50	4,283,517.40	3.18%

The funds received by the LGU and transferred to other agencies for CY 2021, with comparative figures for CY 2020, are shown below:

Fund Transferred to Other Agencies	2021	2020	Increase/ (Decrease)
Local Gov't Units	23,000.00	-	23,000.00

Fund Transferred from Other Agencies	2021	2020	Increase/ (Decrease)
Nat'l Gov't Offices	91,495,019.27	53,964,055.00	37,530,964.27
Local Gov't Units	100,000.00	200,000.00	(100,000.00)

C. Independent Auditor's Report on the Financial Statements

The auditor rendered a qualified opinion on the presentation of the financial statements of the Municipality of Iguig as of December 31, 2021 due to the following:

1. The reliability of the balance of Property, Plant and Equipment (PPE) accounts of ₱389,673,441.62 as of December 31, 2021 could not be ascertained due to a) the Report on the Physical Count of Property, Plant and Equipment (RPCPPE) as of December 31, 2021 submitted was incomplete b) there is a discrepancy of ₱20,084,145.71 between the RPCPPE submitted for Office Equipment, Construction and Heavy Equipment, Disaster Response & Rescue Equipment, Medical Equipment of ₱33,935,101.25 and accounting records of ₱54,019,246.96 c) two units of ambulances acquired through

donation in CYs 2015 and 2020 were not recognized in the books of the Agency and d) unserviceable PPE amounting to ₱4,579,828.06 were not yet disposed.

2. The account balance of Deferred Real Property Tax is understated by ₱10,765,340.10 due to erroneous posting of amount in the general ledger.

3. The balance of Due to NGAs account in the General Fund is overstated by net amount of ₱9,483,069.24 due to a) unposted debit entry made under JEV No. 12-049 dated December 31, 2021 in the amount of ₱10,765,430.10 and b) erroneous debit posting of various transactions amounting to ₱1,282,360.86.

4. Various supplies, goods, drugs and medicines procured for CY 2021 totaling to ₱2,889,806.25 were recorded as outright expenses, instead of initially recording the same to the appropriate inventory accounts and record as expense only upon issuance to end-user.

5. Book reconciling items in the General Fund, Special Education Fund and Trust Fund with a net amount of ₱887,555.79, ₱10,554.34 and ₱1,098,216.12, respectively, were not taken up in the books of the Agency as of December 31, 2021.

D. Summary of Significant Observations and Recommendations

The following are the audit team's other significant audit observations and recommendations:

1. Withheld taxes and premiums/contributions were not remitted in full to the Bureau of Internal Revenue (BIR), Government Service Insurance System (GSIS), Home Development Mutual Fund (HDMF) and Phil. Health Insurance Corp. (PHIC), which is not in accordance with the provisions of Section 5 of Revenue Regulation No. 17-2003 dated March 31, 2003, Section 14.1 to 14.3 of the Implementing Rules and Regulations (IRR) of RA No. 8291, otherwise known as the GSIS Act of 1997; Section 11 of the Revised IRR of RA No. 10606, known as the National Health Insurance Act of 2013; and Section 3, Rule VII of the IRR of RA No. 9679 or the Home Development Mutual Fund Law of 2009.

   We recommended that Management ascertain the validity/correctness of the balances of unremitted taxes and premiums/contributions and immediately remit the same to the concerned agencies pursuant to the provisions of Section 5 of Revenue Regulation No. 17-2003 dated March 31, 2003, Section 14.1 to 14.3 of the Implementing Rules and Regulations (IRR) of RA No. 8291, Section 11 of the Revised IRR of RA No. 10606 and Section 3, Rule VII of the IRR of RA No. 9679.

2. Savings derived from the implementation of 23 projects under 20% Development Fund for CY 2021 totaling to ₱144,210.50 as of December 31, 2021, were not reverted to the unappropriated surplus of the general fund, contrary to Section 322 of RA 7160, thus, depriving the LGU constituents of the possible benefits they can derive from the utilization of the fund.

   We recommended that Management review the unexpended balances pertaining to CY 2021 appropriation in the amount of ₱144,210.50 and revert the same for appropriation to other development projects.

3. The Reports on the Receipt and Utilization of the DRRMF, sourced from National Disaster Risk Reduction and Management Fund amounting to ₱1,829,260.00 was not timely submitted. Moreover, the receipt and utilization of cash donations from the different sources totaling to ₱400,000.00 were not included in the submitted report, contrary to COA Circular 2014-002 dated April 15, 2014, which resulted in the delay of review on the receipt and utilization of DRRMF and audit thereof.

   We recommended that Management require the Municipal Accountant and Municipal Budget Officer to prepare and submit the Reports on the Receipt and Utilization of DRRMF to the Office of the Civil Defense, particularly for cash donations received from different sources amounting to ₱400,000.00, and copy furnish the Audit Team. Likewise, strictly observe the reporting guidelines provided in COA Circular 2014-002 dated April 15, 2014, on the preparation and timely submission of the said report.

E. Summary of Suspensions, Disallowances and Charges

The following are the summary of suspensions, disallowances and charges as of December 31, 2021:

Particulars	Beg. Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	10,000,000.00	-	-	10,000,000.00	
Current Year	-	-	-	-	
Total	**10,000,000.00**	-	-	**10,000,000.00**	
Disallowances					
Prior Years	3,236,525.00	-	-	3,236,525.00	
Current Year	-	-	-	-	
Total	**3,236,525.00**	-	-	**3,236,525.00**	
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	-	-	-	-	

F. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

The status of implementation of prior year's audit recommendations embodied in CY 2020 Annual Audit Report are summarized as follows:

Implemented		10
Not Implemented	2	
Not Implemented and Reiterated in CY 2021 AAR	5	7
Total		**17**